DEEPSTACK The Buildout · Part 01 · Memo

CHIPS

Nvidia's Demand Is Real. Its Financing Is Fragile.

Google paid roughly double for Nvidia capacity while private credit financed a $35bn compute platform. The chips are scarce; the returns may be anything but.

By DeepStack · August 10, 2026 · Chips · 7 min read on the page · deepstack.ltd/stories/nvidias-demand-insatiable-or-manufactured/

THE DEEPSTACK CALL

Split Bull on demand. Bear on the financing.

Nvidia's orders are real. Price its revenue as financed, not recurring.

Conviction Moderate (3/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Discount any AI order book that leans on private credit instead of customer cash.
2. Track energized megawatts, not chips shipped: working compute is the real backlog.
3. Read the depreciation schedule before the earnings: lives that lag obsolescence flatter profit.

WHAT WOULD CHANGE OUR MIND

- End customers keep absorbing capacity at market-rate financing once the power bottleneck clears.
- Nvidia's revenue recurrence holds through the ramp, with no wave of order cancellations.

THE FULL ARGUMENT

DeepStack sides with a qualified bull case: Nvidia's current demand is real, but the buildout's financing makes future revenue less secure than the order book implies. The strongest evidence is Google paying roughly double the market rate for Nvidia capacity while cheaper TPUs were available; that is costly revealed preference, not paper demand. The most important reason for caution is the gap between ordered chips and working compute, amplified by private credit and depreciation that may lag obsolescence. What changes our mind is straightforward: once the power bottleneck clears, if end customers keep absorbing capacity at market-rate financing and Nvidia's revenue recurrence holds, the financing warning was misplaced. Until then, scarce hardware and durable returns remain separate propositions.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Bull on demand. Bear on the financing.	Moderate (3/5)	Side named by the owner.	Marco Cauduro
v1	Aug 10, 2026	Bull on demand. Bear on the financing.	Moderate (3/5)	First call, as published with the story. The conviction, the actions and the flips were set down for the site on October 7, 2026.	DeepStack

BY THE NUMBERS

$38B
Apollo debt
Apollo transaction in late May, described by Michael Burry

$35B
AI XPU tranche
Apollo and Blackstone first tranche; Invest In Assets, ten weeks later

20GW
Broadcom compute
Broadcom-designed capacity promised through 2028; Invest In Assets

$30B
Quarterly AI orders
Broadcom orders booked in one quarter; Invest In Assets, mid-2026

WHO IS ON EACH SIDE

Is the marginal buyer of AI compute real?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: deepstack.ltd/sides/nvidias-demand-insatiable-or-manufactured/

2 VOICES

Manufactured

Michael Burry Jul 24, 2026

Much and possibly most of current and future AI compute demand is not end-customer demand; the majority of future revenues are financed through a circular off-balance-sheet arrangement.

michaeljburry.substack.com/p/trading-post-july-24-2026

Michael Burry Jul 9, 2026

NVIDIA's revenue growth is only mostly real because circular financing sustains marginal AI compute demand above market-rate levels, and resolution of the power bottleneck will reduce revenue recurrence and compress the scarcity premium in margins...

michaeljburry.substack.com/p/short-thoughts-july-8-2026-nvda-neos

THE STRONGEST CASE AGAINST THIS SIDE

Invest in Assets Aug 9, 2026

A visibility window that extends by a full year across the customer base is much harder to manufacture than a single-customer beat and signals that AI demand is structural rather than lumpy.

Contradicts Michael Burry on premise · www.investinassets.net/p/broadcom-the-ai-arms-dealer-that

2 VOICES

Insatiable

Kris Jun 8, 2026

The Google SpaceX GPU rental is bullish for Nvidia because there are still not enough GPUs to quench demand; Nvidia ramps production continuously but cannot follow demand.

www.potentialmultibaggers.com/p/when-good-news-is-bad-news

Invest in Assets Aug 9, 2026

A visibility window that extends by a full year across the customer base is much harder to manufacture than a single-customer beat and signals that AI demand is structural rather than lumpy.

www.investinassets.net/p/broadcom-the-ai-arms-dealer-that

THE STRONGEST CASE AGAINST THIS SIDE

Michael Burry Jul 24, 2026

Much and possibly most of current and future AI compute demand is not end-customer demand; the majority of future revenues are financed through a circular off-balance-sheet arrangement.

Contradicts Kris on premise · michaeljburry.substack.com/p/trading-post-july-24-2026

3 VOICES

Voices that cross sides

Longriver

Long since 2025, and author of the bear case's most honest sentence.

Kris

Bullish on demand, and endorses the GFC earnings-quality parallel.

www.potentialmultibaggers.com/p/when-good-news-is-bad-news

NZS Capital

Exited on the bear case; re-entered when the price paid for the risk.

NOT A DISAGREEMENT

Not a disagreement

Quanta 72: earnings and cash flow have validated the enthusiasm so far. A statement about the past and a projection of decline can both be true.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Michael Burry contradicts Kris on premise

Michael Burry contradicts Invest in Assets on premise

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

When the bottleneck clears p01-t01 PENDING

If end demand survives market-rate financing, the financed-demand warning weakens; if recurrence falls, private-credit risk moves to the front.

Specification pending

As capacity ramps p01-t02 PENDING

Order cancellations would erode year-long customer visibility; continued bookings would support the scarcity case.

Specification pending

Next depreciation tests `p01-t03` PENDING

Schedules that lag obsolescence flatter earnings; schedules that catch up would strengthen the bears.

Specification pending

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. Invest In Assets - Broadcom AI financing and orders · www.investinassets.net/p/broadcom-the-ai-arms-dealer-that
2. Potential Multibaggers - Google rents Nvidia GPUs · www.potentialmultibaggers.com/p/when-good-news-is-bad-news
3. Fiscal.ai - Longriver Q2 2026 letter · fiscal.ai/fund-letters/longriver-investment-partners-limited-q2-2026-fscl_document_8HDF9YVG683/
4. Fiscal.ai - NZS Capital Q2 2026 letter · fiscal.ai/fund-letters/nzs-capital-llc-q2-2026-fscl_document_7PFZ7CCX241/

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 12, 2026. Canonical page: https://deepstack.ltd/stories/nvidias-demand-insatiable-or-manufactured/. Who is on each side: https://deepstack.ltd/sides/nvidias-demand-insatiable-or-manufactured/.

Analysis and opinion, not investment advice.